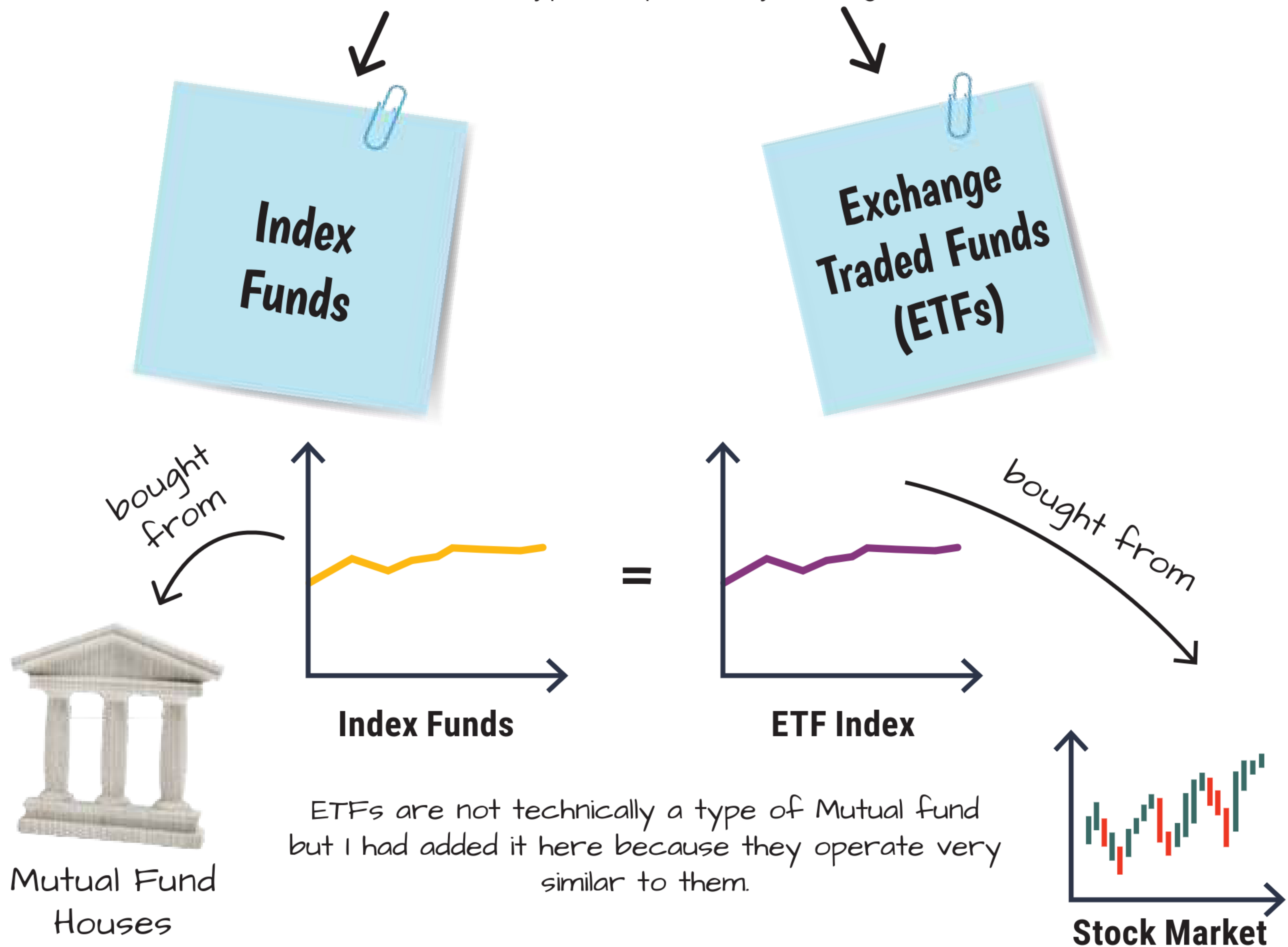


694a99ab1267cc03a6f4

ii. Passively Managed Equity Funds

As we discussed, passively managed funds take a hands-off approach and mimic an index. There are two main types of passively managed funds



Index Funds replicate a chosen benchmark index, investing in the same securities with the same proportions. You can buy and sell them from mutual fund houses.

On the other hand, ETFs also replicate a chosen benchmark index but are traded on stock exchanges. You can buy and sell units of ETFs on the stock market like you buy shares of a company.

These two main types also have subtypes:



Broad market index funds/ETFs: These track major indices like Nifty 50, Sensex, or Nifty Large Cap 100, giving you broad market exposure.



Sectoral index funds/ETFs: Focus on specific sectors like banking, offering targeted exposure. An example would be Nippon India Bank BeeS, an ETF tracking banking funds.